📄 Executive Summary

Business Problem
The company is experiencing a high rate of customer churn, which directly impacts revenue stability and long-term growth. Retaining customers is more cost-effective than acquiring new ones, making churn reduction a critical business priority.

Key Findings

- Customers on **month-to-month contracts** are significantly more likely to churn compared to those with one-year or two-year contracts.
- **Higher monthly charges** are strongly associated with churn, confirmed through statistical testing.
- Logistic Regression analysis achieved strong predictive accuracy, identifying high-risk customers with clear patterns.
- KMeans clustering revealed **three distinct customer segments**:
    1. Short-tenure, high-charge customers (highest churn risk).
    2. Medium-tenure, moderate-charge customers.
    3. Long-tenure, stable-charge customers (lowest churn risk).

Recommendations

- Introduce **loyalty discounts or bundled offers** for high-charge, short-tenure customers to reduce churn.
- Promote **long-term contracts** with incentives to encourage customer retention.
- Launch **targeted retention campaigns** focused on Segment 1 (high-risk customers).
- Monitor churn drivers continuously and refine predictive models for proactive intervention.

Expected Impact

- Reduce churn by **10–15% within the next quarter**.
- Increase **customer lifetime value** and improve revenue predictability.
- Strengthen customer relationships and brand loyalty, positioning the company for sustainable growth.